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N° 29

COLLECTION
INVESTORS

Taxes for Real Estate Investors

Rental income, depreciation and capital gains.



2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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Taxes for Real Estate Investors · Collection Investors · Guide No. 29 · 2026 Edition

COLLECTION INVESTORS · GUIDE NO. 29

Taxes for Real Estate Investors

Rental income, expenses, depreciation and capital gains in Quebec

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Taxation can make a big difference in the real yield of an income property. Properly understood, it legally reduces your tax; ignored, it reserves unpleasant surprises.

This guide presents the main principles: the taxation of rental income, deductible expenses, depreciation, capital gains on resale, and the question of personal versus company ownership.

Informative content, not tax advice: each situation differs, consult an accountant or tax specialist. Each chapter ends with a lined “My Notes” page.

Taxation can make or break the performance of a building. This guide covers deductible income and expenses, depreciation and its pitfalls, capital gains on resale, and the choice between personal and corporate ownership.

Informative content: taxation being technical and evolving, always have your situation validated by a specialized accountant.

CHAPTER

Rental income and deductible expenses

> *Understand what is imposed and what is deducted.*

Rental income is taxable, but you deduct the expenses incurred to earn this income. Net income (rent minus deductible expenses) is added to your taxable income.

- Deductible: mortgage interest, taxes, insurance, maintenance and repairs, management, energy of the commons, etc.
- Key distinction: a repair (immediately deductible) vs an improvement (capital expenditure, depreciable).
- Keep all your invoices and keep rigorous records.

Rents are taxable, but many expenses are deducted: mortgage interest, taxes, insurance, maintenance, management, paid utilities. Distinguishing a (deductible) repair from a (capitalized) improvement is essential - and a frequent source of error.

> EMILIE'S ADVICE
>
> *Keep clean accounts from day one. Every invoice kept is a potential deduction; every forgotten deduction is overpaid tax.*

CHAPTER

Depreciation (DPA)

> *Understanding this powerful tool... and its pitfalls.*

The capital cost allowance (CCA) allows you to deduct part of the value of the building (not the land) each year, reducing your taxable income. It is a powerful tool, but double-edged.

On resale, the depreciation taken can be "recovered" and taxed. Depreciation therefore defers tax more than it eliminates it: to be used with a strategy, ideally recommended by a tax specialist.

The depreciation deduction (DPA) allows a portion of the value of the building to be deducted each year, reducing the tax on rentals. But be careful: it can be "recovered" and imposed on resale. Powerful, the DPA is used with an accountant, not blindly.

> EMILIE'S ADVICE
>
> *Depreciation is not "free" tax savings: it is often deferred tax. Use it knowingly, with the advice of an accountant, according to your horizon.*

CHAPTER

Capital gain on resale

> *Anticipate capital gains tax.*

When you resell a rental property for a profit, part of the gain (the capital gain) is taxable. A rental property does not benefit from the principal residence exemption (except for the portion you occupy, if applicable).

Planning (timing of sale, holding structure, loss carryforwards) can influence tax. Here again, a tax specialist is a profitable investment.

On resale at a profit, part of the capital gain is taxable (depending on the acquisition value and the rules in force). Anticipate this tax in your exit strategy: the “profit” displayed is not the net amount, once tax and depreciation recovery are taken into account.

> EMILIE'S ADVICE
>
> *Plan resale taxes BEFORE selling. When and how you sell can significantly change the tax on your gain.*

CHAPTER

Personal or corporate ownership

> *Choose the right structure according to your project.*

You can own a building in your personal name or via a company (incorporation). Each option has tax, legal and financing implications. Incorporation can offer benefits (protection, planning) but also increased costs and complexity.

The right choice depends on the size of your project, your horizon and your overall situation. This is a decision to be made with an accountant and a notary/lawyer.

Holding in personal name is simple; Holding through a corporation offers other tax and liability opportunities, but with increased costs and complexity. The right choice depends on the size of your project and your situation - a decision to validate with an accountant and a notary.

> EMILIE'S ADVICE
>
> *Do not incorporate "by default" or "because we heard it". For a first building, personal ownership is often simpler; incorporation takes on its meaning as the portfolio grows.*

CHAPTER

Records, receipts and good accountant

> *Keep accounts that protect you.*

Real estate taxation does not forgive improvisation. A **bookkeeping** rigorous is your best ally:

- Keep **all receipts** and invoices (expenses, work).
- Separate the finances of the building from your finances **personal**.
- Distinguish **repair** (deductible) and **improvement** (capitalized).
- Surround yourself with a **accountant** who knows real estate.

Impeccable records legitimately reduce your taxes and protect you in the event of an audit.

Real estate taxation does not forgive improvisation: keep all receipts, separate the finances of the building from your personal finances, and surround yourself with an accountant who knows real estate. Clean records legitimately reduce your taxes and protect you in the event of an audit.

> EMILIE'S ADVICE
>
> *A good accountant specializing in real estate often pays himself through the deductions he finds and the errors he avoids. Don't tinker with your rental tax: it's a false economy.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Implement rigorous record keeping.
2. List my deductible expenses.

Within 30 days

1. Consult an accountant on depreciation and holding structure.
2. Plan my medium-term tax strategy.

Then

1. Review the planning before any resale.

To manage my taxes properly

1. Keep separate records and keep all receipts from the first month.
2. Consult a specialized accountant (DPA, holding structure, exit).

REFERENCES

Resources & glossary

- Net rental income: rent less deductible expenses, taxable.
- Repair vs improvement: immediate deductible vs capital expenditure.
- DPA (depreciation): deduction on the building, with recovery on resale.
- Capital gain: taxable capital gain on the resale of rental property.
- Incorporation: ownership by company, with advantages and costs.

- Deductible expense: cost subtracted from taxable rental income.
- DPA: depreciation deduction, recoverable on resale.
- Capital gain: taxable profit realized on the sale.
- Repair vs. improvement: immediately deductible vs. capitalized.
- Holding by company: structure offering other tax options, more complex.

GO FURTHER

Quiz - test yourself

1. Rental income is:

A) Non-taxable

B) Taxable, after deduction of expenses

C) Exempt always

D) Taxed at 0%

2. A repair is:

A) Depreciable only

B) Generally deductible immediately

C) Non-deductible

D) A capital gain

3. Depreciation (DPA) covers:

A) The land

B) The building (not the land)

C) Rents

D) The down payment

4. On resale, the depreciation taken can be:

A) Forgotten

B) Recovered and imposed

C) Doubled in deduction

D) Reimbursed

5. Does a rental property benefit from the principal residence exemption?

A) Yes, totally

B) No (except occupied portion if applicable)

C) Always

D) Never any rules

6. The capital gain is anticipated:

A) After the sale

B) Before the sale

C) Never

D) To the notary only

7. For a first building, the holding is often:

A) Always in society

B) Personal, simpler

C) Prohibited

D) Anonymous

8. The best way to decide on taxation is:

A) Guess

B) Consult an accountant/tax professional

C) Copy a friend

D) Ignore

Answers

1. B - Net income = rent – deductible expenses (chap. 1).

2. B - To be distinguished from an improvement (chap. 1).

3. B - Land does not depreciate (chap. 2).

4. B - Depreciation defers tax (chap. 2).

5. B - The rental is taxed on the gain (chap. 3).

6. B - Planning influences tax (chap. 3).

7. B - Incorporation comes with growth (chap. 4).

8. B - Each situation differs (all chapters).

Signé PAR Em

You now have the right keys in hand.

Every real estate journey is different.

If you would like to go further,
I would be happy to discuss
your project with you.



Make informed decisions.
Choose with confidence.
Live without regrets.
See you soon,
Emilie ☺

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